❖ Horizon Asset Management, Inc. ❖

4th Quarter 2008 Market Commentary

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Let us commence with the unpleasant task of describing the performance of Horizon's equity strategies in 2008. The figure, depending on the strategy, was generally anywhere from 45% to 55%. As to the reasons; we certainly did not conceive of the virtual collapse of the global financial system, the cessation of trading or price discovery in one of the largest and most liquid debt markets in the world, nor the attendant collapse of valuations across equities, bonds, bank loans and commodities. We did not anticipate valuations contracting to the degree that, in many cases was never before witnessed. This past year, the performance of our equity strategies was worse than the broad stock market, which undid much of the benefit of more often being substantially better in other years. Thus, we have described price performance.

There is another aspect of performance to which we pay attention, which is the business results of the companies whose shares we hold. Although we invested in a handful of securities whose prices did not perform up to our expectations, by and large, most have performed within the context of the economic environments in which they operate, quite well. This is one reason we have not engaged in large-scale trading activity. It is our practice to not trade often, to make use of the equity yield curve and await the results of value creation at the companies we hold. Our most favored sectors, which we continue to hold and purchase for new investments – the exchanges and the investments in China – had the greatest impact upon the portfolio.

In the following commentary, we will attempt to describe the following: 1) The dislocation in the broad markets, 2) The progression in the government and private sector's attempts to correct these problems, and 3) How Horizon is positioning the portfolios in what we feel to be businesses that will benefit from this return to normalcy. It is Horizon's desire to invest our clients' capital in fundamentally superior businesses. It is our belief that the long term success of the portfolio is predicated on the future cash earnings of these businesses, to be eventually reflected in the share price.

Observing a Negative Bubble

We last wrote about the methods to observe a bubble in 1999. We do so again, yet from the inverse vantage point. In a normal environment, we would write about many of the portfolio stocks individually. However, the normal questions about share price, which link price behavior to company-specific financial performance, competitive or strategic challenges, are now the wrong questions, if we may be so bold as to say this. In the current environment, asking the normal stock-specific questions about share price decline is to risk eliciting the wrong conclusions and, as a consequence, the wrong actions.

We have made past use of security pricing anomalies among stocks to demonstrate that pricing and fundamental analyses are no longer related. This is a critical observation, because it determines whether someone believes that the current circumstance is terrible and getting worse, or understands that the current circumstance is both terrible and one of extraordinary opportunity. Because the question is, what does the price tell us? Does it inform us that something is wrong with a company or that something is wrong with the security price? Following are a few telltales that demonstrate near unique or perhaps unique pricing discounts.

One of the challenges, though, is that it might do no good to speak about how extraordinarily discounted a particular common stock is. There are too many variables that can be legitimately debated. One might suggest a debt-free company with a high return on equity and selling at a single-digit P/E ratio as evidence of extraordinary opportunity, but be countered by the alternative opinion that the price anticipates an as yet unobvious decline in the industry in question. In any event, our portfolios were down 50%, so where is our credibility? Therefore, we will test securities that are less subject to debate.

One test is to reference various country funds. Among the half-dozen country funds listed in the accompanying table, their performance last year was within so narrow a range as to be virtually indistinguishable. Yet, it is not reasonable to assert that the totality of investment opportunities, such as they are, in Singapore is identical to those in Spain, Thailand, Europe and India. Even if it were not so, is it not reasonable to imagine that the Singapore dollar might have a different rate of change in that 12-month period than the Euro or Thai baht or Indian rupee?

Year-to-date return through 12/29/08	
Mexico Fund (MXF)	-48.2%
European Equity Fund (EEA)	-52.6%
MS India Investment Fund (IIF)	-54.5%
Singapore Fund (SGF)	-55.3%
Thai Fund (TTF)	-54.0%
Spain Fund (SNF)	-55.4%

It's as if all of the investment opportunities were more or less identical. Their performances should be markedly different; it is merely that the negative economic view is so predominant that it dwarfs every other conceivable situation and consideration. Our view on the marketplace, which is no doubt unpopular and has so far been wrong, is that the present circumstance has the characteristics of a bubble. When the market makes no distinction about any feature of investments apart from one, assumes that this lack of distinction applies uniformly to all investments, and further assumes that the current circumstance will completely occupy the investment horizon as we know it, with nothing else being important or relevant, we would say that those are the conditions that create a bubble. It is perhaps not intuitively obvious, because bubbles are customarily thought of as representing inflated prices; today's markets, though, are characterized by a negative bubble.

Although there is no fundamental analysis that would justify these country fund results, there is an exogenous reason. Before reviewing that, though, since the country fund example is still in the realm of equities and might therefore be less than compelling, let us use a similar yet more suasive exercise with respect to the bond market. A bond has a legally binding promised coupon and maturity date, a specified dollar amount of claim, a known standing in a company's credit structure. To provide the promised return on a bond, a company need not be successful; it merely needs to survive, whereas stock prices are largely based upon the varying momentary degrees of premium that shareholders apply based upon their ever changing expectations.

There has lately been trading a bond of a well-known company. It matures in six years and trades at a price of 80 and a 12% yield to maturity. It is rated BBB-. Irrespective of any consideration of credit quality, industry sector, etc., it is startling to observe that another bond of the same company, and of the same seniority, and due two years earlier, sells at about 57 and a 17% yield to maturity. That shouldn't happen. Moreover, the lower-priced bond also contains an equity conversion feature – which is a quite valuable additional benefit. Not only shouldn't this happen; in an ordinary environment it wouldn't, because some investor would immediately seize the opportunity to purchase the shorter-term, cheaper note, sell short the more expensive note, and thereby create a guaranteed and very sizable profit. At the moment, of course, such arbitrageurs, whose actions would close that price gap, are raising liquidity and reducing leverage, not searching for additional investments. There are many more examples in the corporate bond market of such inexplicable prices.

Perhaps that example doesn't suit, because it utilizes a lower-investment-grade bond. Let us offer, instead, a well-diversified closed-end municipal bond fund that trades at a 10% discount to its NAV and yields 6%. It does employ some leverage, as it has successfully for 20 years, however the average credit rating of the bonds in this fund is AA+. The 6% yield is tax-free, versus about 1.8%, after-tax, in a comparable-maturity Treasury Note. Ordinarily, municipal bonds trade at a lower yield than Treasury notes, care of their tax advantage. A differential of this magnitude is unheard of. Moreover, the average bond price that comprises that NAV, is only about 75, such that the NAV could appreciate by 33%. The contraction of the discount to NAV could raise the appreciation to 45%.

Don't like that example, because of leverage? From that example, then, the average coupon of the municipal bonds in that fund is 3.94%. Since the fund's average bond price is 75, the current yield of those bonds, exclusive of the leverage within the fund is 5.25%, or one-third greater than the Treasury.

These are examples of bond pricing that, should an MBA student attempt to justify them on an exam, would earn the student a failing grade, because they are not academically justifiable via fundamental analysis of a company or its finances or the terms of the bond indentures or their standing within the credit structure, or the precepts of the efficient market theory. They defy the normal analysis and reason applied to the evaluation of bonds – except for the same exogenous reason that would explain the Country Fund anomaly. This has to do with forced liquidations and the demand for liquidity.

The Basis for the Negative Bubble Pricing

The current environment can be attributed to one thing: the loan market and credit spreads – the difference between the risk-free interest rate represented by Treasuries and virtually anything else. As discussed anecdotally above, term loans trade at 50 to 60 cents on the dollar, have 15% current yields and, because the prices can rise to face value, at up to 30%+ yields-to-maturity. Tax-exempt bonds trade at an extraordinary premium to Treasuries. These spreads have never existed before.

The term structure of interest rates is distorted, and these yawning credit spreads affect the entire economy. Credit has become unavailable. How did it happen? A critical nexus is Credit Default Swaps. These simply mean insurance contracts against bond price declines. In early 2008, there were an estimated $73 trillion of CDSs outstanding. To put this in perspective, the stock market capitalization of all of the companies on the NYSE as of the beginning of 2008 was $16 trillion; it is now about $10 trillion. There was far more outstanding insurance than there were underlying bonds.

The principal problem was how the insurance mechanism worked. As the price of the underlying bond declines, the guarantor – let us say one of the major insurance companies or commercial banks that wrote a CDS – must post more collateral, which is held in an escrow account for the buyer. The problem was not as simple as a guarantor's indifference to being completely exposed to this underwriting risk. The guarantor might also, as a hedge, have purchased a CDS, as an offset to the one it wrote. This would be done if the underwriter could establish a more favorable price and lock in a spread. The problem, though, was that as the price of the underlying bond dropped during the course of the contract, this underwriter might not have had to access the other collateral held on its behalf in the escrow accounts of the institutions from which it bought the CDS. Therefore, it would be forced to borrow, if it could, to meet its obligation under the CDS. These collateral arrangements absorbed a great quantity of money, which effectively was taken out of circulation.

If the guarantor could not borrow in order to post more collateral, it had to raise liquidity by selling securities, like bonds, like stocks, like commodities. This was the beginning of what was, essentially, a global margin call that has forced innumerable enterprises to sell assets simultaneously, with little if any valuation sensitivity. When the unregulated business of negotiable instruments began to perform in a dysfunctional manner, it forced the liquidation of securities in regulated businesses as a way to fund the resultant collateral calls and collateral postings of the unregulated businesses. The result has been a bizarre correlation amongst all sorts of asset classes that were never before correlated.

The impact upon the willingness to extend credit has even pressured entities that did not consider themselves leveraged to seek liquidity. Almost any company that has debt coming due within the next 3 to 5 years will be found to have bonds trading at deep discounts unless net cash is available to pay them in full. Exceedingly few companies can do this. Within the portfolio, London Stock Exchange, which has cash equal to debt, and an abundance of free cash flow, recently utilized its bank credit facility – not to utilize the cash, merely to have it available. Of course, this amount of credit extended by the exchange's bank is no longer available to another entity that probably actually needs it. Another portfolio holding, Carnival Corp., which has an A- bond rating, temporarily suspended its dividend in order that it could repay the next few years of maturing debt and pay for newly delivered ships without the need to access the commercial paper market in case the lending markets would not be accommodative. The company hopes to use ordinary borrowing methods, but must act as if it is a non-investment grade company.

This begins to explain the pricing anomalies mentioned earlier. A hedge fund that held a convertible bond as part of an arbitrage and must liquidate it becomes a forced seller. This happens in an environment in which other natural buyers are also liquidating or simply unwilling, even if they have liquidity, to accept price risk or time risk. Consequently, the price of that convertible bond will find a level based upon liquidity that has no relationship to either its creditworthiness or to the prices of other bonds of that company.

This deleveraging by institutions to post collateral for CDSs, to meet hedge and mutual funds redemptions, and the resultant demand for liquidity – which is to say cash or risk-free Treasuries -- has overwhelmed the ordinary laws of supply and demand that we are all taught. The investment public's demand for liquidity is greater than its demand for investment securities. That situation happens frequently in a localized sense, because there is always an area of investment that the public wishes to exit, but now it's happening in a global sense. Other than low interest rate government securities, there's almost no area of investment that the public is willing to purchase.

The Basis for Exiting the Negative Pricing Bubble

Thus, it is the distorted credit spread structure and the inability to secure credit that is a central problem that the government must cure – that is, to restore the proper (i.e., narrower) credit spreads. As to why banks don't lend more, one might ask why make a loan – or thousands of small loans, with all the attendant administrative costs and time – at the existing rate of, say 6%, if one can buy senior bank loans, in bulk, at yields of 30% or more?

The central banks are executing their responsibilities. They have restored some order to the commercial paper market, which required months of effort. They have now turned their attention to the agency paper market. This month, the Federal Reserve began to purchase what will be $500 billion of mortgage backed securities, the goal being to reduce mortgage rates and their spread relative to treasuries. This was announced in November, and in the seven weeks since then the 30-year mortgage rate has declined monotonically from over 6% to less than 5%. The goal is 4.5%. This can have a meaningful economic impact.

From the vantage point of a homeowner with, let's say, what was originally a $200,000, 30-year, 6% mortgage, originated five years ago, refinancing with a new 30-year mortgage at 4.5% would save roughly $3,000 per year before tax adjustments. That's a great deal of cash flow for the average family. There is another dimension to this. From the vantage point of the nation's banks, each refinanced mortgage is repaid early at face value, irrespective of the fact that the original mortgage might be carried on the bank's balance sheet at 35 cents on the dollar based on mark-to-market accounting. Thus, banks will see write-ups.

Next, in February, the Federal Reserve commences TALF, the Term Asset-Backed Securities Loan Facility. Under this program the Fed will lend up to $200 billion, on a non-recourse basis, to holders of certain AAA-rated securities backed by new and recent loans such as student loans, auto loans, credit card loans and loans guaranteed by the Small Business Administration. It is specifically designed to increase credit availability to consumers and small businesses at more normal interest rate spreads.

Meanwhile, Fannie Mae and Freddie Mac, which account for a large portion of all the foreclosures in the US, are beginning to restructure defaulted mortgages, and banks have begun to do so as well.

There is little question that the government understands that the restoration of normal credit spreads is necessary to effectuate resumed lending activity. It is recreating the fractional banking system that has broken down and intends to rejuvenate the asset backed securities market.

We are now witness to a combination of the lowest valuations likely to be seen in our lifetimes, the most massive Central Bank intervention in history, and historically low interest rates. It is a powerful combination for a revaluation of depressed securities prices. In the last few months, the central banks have been acquiring all types of obligations, the nature of which no one can be certain, except that they are dramatically expanding their balance sheets. From this past September to the November/December period, the increase in Central Bank balance sheets has been as follows:

Swiss National Bank	50%
Bank of Japan	20%
European Central Bank	42%
Bank of England	145%
U.S. Federal Reserve Bank	142%

The same applies to smaller central banks, such as of Canada and Australia. Ultimately, these central bank actions are going to determine the direction of capital markets, and it is unlikely that they are finished. If the world's central banks are determined to achieve a narrowing of credit spreads as a condition for a resumption of normal capital markets activity, if it is a more or less coordinated effort, without any historical precedent, it is probably unwise to have an investment posture at variance to their declared intention to restore order. In time, credit spreads will narrow, the market will advance and, given this rate of balance sheet expansion, it will probably not take a very long time.

If all valuations key off of interest rates, which are the basic cost of money, and yield spreads, then the revaluation of non-Treasury securities will be enormous. There is, of course, a trade-off, or cost, to achieve the liquidity and absence of price volatility that most market participants seem to now want. The cost is a negligible cost of money return. A $1 million investment in 6-month Treasury notes will earn $2,700 per year before taxes. This might be suitable for a period of time, but for how long a period? Six months? Longer? Ultimately, private capital availability, large yield spreads, and need/opportunism will intersect. Someone will opt for 6% tax-free in a diversified municipal bond fund as a suitable return for the risk. Someone else will purchase a senior bank loan at 40% of face value, someone else, Philip Morris International at a 5% dividend yield.

At the moment, there now exist classic Graham & Dodd value opportunities that are only made possible because of this historic period in which the investment public's demand for liquidity is greater than its demand for investment opportunities.

Industry Segments: Commented upon, below, are a couple of the more prominent investment segments.

Oil Companies

The oil and energy statistics are remarkable. The current worry is that oil prices could decline yet further or simply stay depressed, that recessionary pressures will overwhelm any other factors. Yet, the Baker Hughes count of the oil rigs in operation worldwide is now 3,448, or only 28% higher than the 2,722 in 1975, 33 years ago, while worldwide oil demand is 50% higher (approximately 81 million barrels/day vs. 56 million). The rig count is actually lower than in 1985, 23, years ago, despite the fact that worldwide oil demand is now over 40% higher. Moreover, more than one-half of the worldwide rigs are operating in the U.S., and are being applied predominantly to existing reservoirs and not toward major new discoveries. During this period, the U.S. has devolved from approximate energy self-sufficiency to being a massive importer of oil, because its most prolific domestic oil fields are in decline. Even the reserves of the worldwide major oil companies are not being enhanced.

On January 2, 2009, West Texas Intermediate traded at $46.34 a barrel. In 1985 dollars, using the CPI to adjust for inflation, this would be $24 dollars/barrel. This may be compared to the actual 1985 average price of $24/barrel, such that there has been no real increase in price, despite the very obvious increase in worldwide demand and the increasing cost of developing new reserves. The world has grown a lot since 1985. If China, India and other areas of the world are likely to expand, the demand for energy is almost certain to as well. The current price level is not likely to continue, and it is difficult to suggest a serious decline.

It's likely that oil prices collapsed as part of the same worldwide demand for liquidity that resulted in other assets of every conceivable description being sold indiscriminately. It's rare that the investment public's need for liquidity exceeds its demand for instrumentalities of investment. It happens once every few generations, which makes this, as far as oil as a commodity is concerned, a unusual buying opportunity. It might not come recur in our investment lifetimes. It is why we hold oil company shares, and why we favor those with the longest-lived reserves, such as the Canadian oil sands companies and Gazprom.

All of the major international oil companies – the Norwegian company Statoil, the Brazilian Petrobras, France's Total – seem to now trade at 8x earnings, using 2009 analysts' estimates, based on an oil price forecast of between $45 and $50 a barrel. Gazprom, the Russian national oil company, trades at 6x. Why is the forecast between $45 and $50 a barrel? Because that is where the price of oil currently is. This is probably the worst possible basis for a forecast.

Gazprom is unique among all the companies mentioned, first, because it controls, believe it or not, 17% of the worldwide gas reserves, which makes it an outlier among companies, and supplies about one-quarter of Western Europe's natural gas.

Second, because of arrangements that Gazprom had with enterprises within the former Soviet union as well as with other nations in the communist sphere of influence, Gazprom does not sell hydrocarbons at the market price, though it would like to do so. Therefore, Gazprom's earnings are understated, and as it raises 'internal' prices toward market levels, its earnings should rise even if market prices do not. This is borne out by a recent controversy between Gazprom and the Republic of the Ukraine. The Ukrainians resisted the most recent Gazprom price increase, as they have in prior years. As has happened in previous Januaries, which are generally very cold in the Ukraine, the Russians not only threatened, but implemented, a curtailment of gas supplies.

Gazprom is a classic example of a Graham and Dodd investment. If one attempted to calculate the genuine Gazprom net enterprise value by valuing all the hydrocarbons, especially gas, at market, one would determine that Gazprom is trading at a fraction of its bona fide net asset value. If one compares the enterprise value of Gazprom (stock market value plus debt) with its reserves, one will determine that one pays about a half-dollar barrel of oil equivalent when buying a share of Gazprom; one will pay roughly $5 per barrel via a share of a company like Apache Corp. The coefficient of expansion, to equate Gazprom with Apache, therefore, is roughly 10x.

Exchanges

One of the great questions about securities exchanges is whether the current deleveraging of financial institutions and investment portfolios will portend reduced trading volumes. Paradoxically, the current crisis portends one of the great opportunities for securities exchanges.

Perhaps the most important reason for the apparent breakdown of the financial mechanisms is that the authorities permitted the evolution and construction of exchange mechanisms for the vast sphere of portfolio exotica, including interest rate swaps, credit default swaps, and the like, that were outside the domain of any reasonable rule system or organization -- over 80% of all derivatives transactions do not occur on an exchange, but in the over-the-counter market.

The regulators are avidly interested in liquidity, securitization and allowing investors to exit asset classes or individual securities that the owners consider problematic. One of the great problems at the moment is that the credit market is frozen, because there is no liquidity. There is no liquidity, because there is no price discovery; no one knows what the price is, and there is no contact between those who want to sell and those who might be interested buyers. The entire housing market is not functioning, because liquidity doesn’t exist. A remedy is the listing of those securities. One may reflect that $7 trillion of the $14 trillion mortgage market in the United States became absolutely untradeable; yet, stocks like Bear Stearns or AIG, say what one will about them, never stopped trading. The owners were displeased with the prices obtained, but there was always liquidity. Therefore, it seems logical that the regulators would encourage the listing of many more items.

In fact, the thrust of new regulation is clearly to bring transparency to those financial instruments. That will likely be accomplished on some sort of organized exchange or clearinghouse. Regulators have already indicated that they will require exchanges to begin to provide organized clearing house mechanisms for trading at least some portions of the over-the-counter derivatives market, such as credit default swaps. The CME intends to begin clearing some CDSs this month, and both Nasdaq and NYSE Euronext are planning to engage in this activity as well. Nasdaq intends to focus initially on clearing interest rate futures. Whatever value lies in trading equities for the exchanges, the derivatives markets dwarf the equity market in size.

While the entire securitization market has disappeared, including mortgages, student loans, and credit card receivables, the interest rate futures volume is down only slightly. Various governments of the world are now creating more fixed income securities than have ever been created in the history of civilization, and this is being done at record low levels of interest rates. In some number of months, the owners of these securities might wish to hedge themselves by the purchase or sale of interest rate futures. In that case, the interest rate futures market, which is already very large, will grow enormously. The likelihood of that scenario is one of the market opportunities that stand before the exchanges.

Another burgeoning market for exchanges is exchange traded funds (ETFs). ETFs are used in increasingly creative ways to invest, hedge, alter the complexion of portfolios and provide liquidity. Even during the liquidity crisis, the demand for the exchange of ETFs has risen. The Lehman 20+ year Treasury ETF that now trades 4.5 million shares daily, an amount that is historically unprecedented for that particular instrument. The S&P SPDR, which represents the S&P 500 Index, has 50% turnover daily, which is roughly 12,000% per year, whereas the turnover for an S&P 500 constituent such as IBM or ExxonMobil might be only a few hundred percent. This activity is processed by the exchanges.

The market has spoken. It demands liquidity at every hour of the day on a 24 hour basis. The croupiers are merely processing companies; they are no more, and no less. They do not risk their capital other than in the plant and equipment necessary to facilitate liquidity transactions. They earn copious amounts of cash flow which, in the fullness of time, should increase. Of course, given the low valuations of croupiers, most market participants would disagree. Time will tell. As of the most recent reckonings, the available empirical data suggests that the croupiers' business is growing, not diminishing.

China

The Chinese government recently announced that it would spend an estimated $586 billion over the next two years to stimulate consumer spending and bolster the economy. The spending has already begun. This stimulus package is the largest effort ever undertaken by the Chinese government. While the absolute amount of the Chinese stimulus package is not as large as the $700 billion rescue plan by the US government, it should be considered in relation to the size of their economy, which is now about $7 trillion. Therefore, the stimulus package is equivalent to about 8.5% of China's GDP. Were the U.S. to expend 8.5% of its $14.8 trillion GDP in this manner, that would amount to a $2.26 trillion stimulus package. Allocated equally to the 110 million U.S. households, that would amount to an astounding $11,400 per household.

As to paying for this, China does not have the budget deficit concerns of the U.S., as the country had almost $2 trillion in foreign reserves as of the end of September and a reported fiscal surplus of $215 billion for the first ten months of last year. Therefore, over the nine quarters the stimulus plan will be in effect, the Chinese surplus may actually exceed $586 billion, in which case the Chinese government would not need to borrow funds to finance the package.

Also, unlike the US stimulus package, which is focused on tax rebates, China's stimulus plan is aimed at building infrastructure such as roads and bridges, and providing jobs. This is very important to the Chinese government as its economy, after five years of 10%+ growth, has slowed to about 6% in the 4th quarter. Growth in exports and investment are slowing, consumer confidence is declining, and stock and property markets are severely depressed. While a 6% growth rate would be extraordinary for most developed countries, China needs a higher rate of growth just to absorb its labor force. Therefore, if it fails to generate sufficient employment, social unrest could become a significant problem for the Chinese government. That provides the government with a strong incentive to keep its economic growth rates high.

In all of this discussion, China retains a relative advantage versus the U.S. China's overall government spending remains relatively low as a percentage of economic output compared to the United States and Europe. Yet, the Chinese government maintains far more control over investment trends. Accordingly, it has greater flexibility to increase investment in order to counter a sharp downturn. Many of the largest companies in major Chinese industries such as steel, automobiles and energy, are state owned, and government officials locally and nationally have a hand in deciding how much bank lending is steered to those sectors.

Another consequence of the slowing Chinese and U.S. economies is actually an increase in the relative growth rate of China. If recent years' GDP growth rates in China were 10%, versus 3% in the U.S., the Chinese economy was expanding at 3.3x that of the U.S. The current 6% growth rate in China may be compared to contraction in the U.S. economy.

This stimulus package, along with three interest rate reductions in the past two months, provides the Chinese economy with a solid step toward a likely rebound. Over the past few weeks, other Asian nations such as Taiwan, Japan and South Korea, have announced significant stimulus packages and interest rate reductions of their own. Combined, these actions are likely to have a decidedly positive impact on the Asian economies over the next few years, and the axis of economic activity has already been shifting from the west toward Asia. Horizon will continue to maintain its exposure to China. We remain focused on non-export oriented companies that conduct their business solely in the local currency. The Chinese currency remains massively undervalued relative to the U.S. dollar and should provide an entirely additional return and diversification dimension to those investments. In our opinion, the severe valuation contraction experienced over the past year will be looked back upon as a rare opportunity.